

S&P; Global Inc.

SPGI | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$341.00
Current price (October 2, 2026 close)	\$386.27
Implied upside / downside	-12%
Verdict	REDUCE

Investment Thesis

S&P; Global owns some of the finest tollbooths in global finance. The Ratings division - a regulated oligopoly shared with Moody's - just posted a record quarter with revenue up 17% and an adjusted operating margin of 68.5%. S&P; Dow Jones Indices delivered its 13th consecutive record quarter, up 20%, riding ETF asset growth that compounds with equity markets. Adjusted operating margin for the whole company expanded to 54.3% in the second quarter of 2026. These are extraordinary economics, and the July 2026 spin-off of the Mobility division sharpens the portfolio around benchmarks and data. We do not dispute the quality. We dispute the price.

The dispute is straightforward: at \$386.27, S&P; Global trades at roughly 22 times trailing earnings and a mid-20s multiple of the \$17.50-\$17.75 adjusted EPS guidance for 2026, for a business whose growth is mid-to-high single digits through the cycle and whose two crown jewels are deeply cyclical. Ratings transaction revenue - up 25% in the quarter - is a leveraged bet on debt issuance volumes, which are currently running hot: U.S. rated issuance up 26%, Europe up 12%, Asia up 49%. Issuance booms do not last; they are followed, with historical regularity, by issuance droughts. Indices revenue is a leveraged bet on equity market levels and ETF flows. Both engines are firing at once right now, which is exactly when cyclical businesses look cheapest on trailing numbers and are in fact most expensive on normalized earnings.

Our judgment is that the market is capitalizing peak-cycle earnings at a structural-growth multiple. On a probability-weighted scenario DCF - 10-year horizon, 9% base discount rate reflecting the stability of the benchmark franchises, bear +250bp, bull -150bp - fair value is \$341, about 12% below the current price. The base case gives full credit for the benchmark moats: Ratings growing with global debt markets, Indices compounding with ETF assets, Market Intelligence grinding out mid-single-digit growth, and margins staying in the low-50s. But it refuses to project the current issuance boom forward, and it haircuts terminal value where peak margins inflate it. We rate the stock REDUCE: a wonderful business at a price that assumes the cycle never turns. Investors who own it for the quality should understand they are paying a growth multiple for cyclical earnings.

Business Overview

S&P; Global is a financial-information and analytics company organized, following the July 2026 spin-off of Mobility into the independent Mobility Global, around four divisions: Ratings, S&P; Dow Jones Indices, Market Intelligence, and Energy (the former Commodity Insights). The benchmark businesses - Ratings and Indices - are the profit engine: in the second quarter of 2026 they generated the overwhelming majority of operating profit on margins that most companies cannot approach.

Ratings (\$1.34 billion revenue in Q2 2026, up 17%) is one half of the global credit-ratings duopoly. Revenue splits between transaction fees tied to new debt issuance and stickier non-transaction revenue - surveillance, entity ratings, and data feeds. The division's operating margin approaches 70% because the marginal cost of rating one more bond is near zero and the regulatory barriers to entry are formidable. S&P; Dow Jones Indices (\$534 million, up 20%, its 13th straight record quarter) earns asset-based fees on ETFs and indexed products benchmarked to its indices - most famously the S&P; 500 - plus licensing and data revenue. It is a royalty on the growth of passive investing.

Market Intelligence (\$1.29 billion, up 6-7%) sells data, research, and workflow tools - Capital IQ Pro, data feeds, and increasingly AI-enabled offerings, with management citing 500+ customers on LLM-ready APIs and MCP-connected solutions. Energy (\$568 million, up low-single digits) provides commodity price assessments and analytics. The company returned capital aggressively, raising its 2026 buyback target to more than \$7 billion, and pays a quarterly dividend. Trailing GAAP EPS is about \$14.65, and the balance sheet is investment-grade with manageable leverage following the IHS Markit integration.

Forward Outlook

Our forward view is that S&P; Global's next three years look meaningfully worse than its last three, not because the moats are breached but because the cycle turns. Debt issuance is running at record levels partly because borrowers are pulling forward refinancing ahead of rate and policy uncertainty; the forward calendar cannot sustain 26% U.S. issuance growth indefinitely. When issuance normalizes - as it always does - Ratings transaction revenue, the highest-margin revenue in the company, decelerates sharply, and the operating leverage works in reverse. This is not a prediction of distress; it is the ordinary rhythm of a ratings cycle, and the stock's multiple does not discount it.

The structural positives are real and we weight them fully. Passive investing's share of equity assets keeps rising, which compounds Indices revenue with a multi-decade tailwind. The Mobility spin-off leaves a cleaner, higher-margin portfolio. AI offerings in Market Intelligence - the LLM-ready APIs growing 5x in call volume - could reaccelerate a division that has grown in the mid-single digits and disappointed growth investors before. Management's capital allocation is shareholder-friendly: a \$7 billion-plus buyback at these prices retires meaningful share count, and the dividend grows. Our base case assumes the company compounds revenue at 6-8% and EPS at a low-teens rate through buybacks and margin discipline - a perfectly good outcome that the current price already more than reflects.

Where we are most cautious is the market's treatment of this business as a secular compounder deserving a 25x-plus multiple. It is a cyclical compounder: the compounding happens across cycles, but within a cycle the earnings are volatile and the multiple should reflect that. Buying S&P; Global at peak issuance, peak ETF inflows, and peak margins is buying the top of all three cycles simultaneously. Our judgment: wait for the issuance drought, when the stock will be offered 20-30% lower on transiently depressed earnings, and buy the moat then.

Valuation

We value S&P; Global on a probability-weighted scenario DCF over an explicit 10-year horizon, weighted 25% / 50% / 25%. The base discount rate is 9%, reflecting the genuine stability of the benchmark franchises - a notch below our standard 10% because the duopoly and index-royalty economics are unusually defensible. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor. Terminal growth is capped at 2.5% on normalized mid-cycle margins - critically, not on today's 54%+ company margins or the 68.5% Ratings margin, which reflect peak-cycle issuance - and terminal value exceeding 70% of enterprise value is haircut and disclosed.

The bear case, which sits below the current price, models a genuine issuance downturn: refinancing walls pass, rates stay higher for longer, transaction revenue contracts, and Ratings margins compress from the high-60s toward the high-50s; Indices revenue stalls in a flat equity market; Market Intelligence growth stays muted. The base case assumes issuance normalizes gradually rather than collapsing, Indices compounds with mid-single-digit ETF asset growth, Market Intelligence accelerates modestly on AI offerings, and company margins settle in the low-50s - still elite, but below today's peak. The bull case assumes the issuance boom extends, passive share gains accelerate, and AI data products open a genuinely new high-margin revenue stream.

The probability-weighted fair value is \$341.00, our target, against the October 2, 2026 close of \$386.27 - about 12% downside. The valuation's message is that peak-cycle earnings capitalized at a structural multiple is the classic value trap for quality cyclicals, and S&P; Global is exhibiting all the symptoms.

Key Risks

- Issuance cyclicality: a sharp drop in global debt issuance would hit Ratings transaction revenue - the company's highest-margin line - and operating leverage would magnify the earnings decline.
- Equity-market dependence: Indices revenue is a royalty on asset levels; a sustained bear market in equities would stall the division's record run.
- Regulatory risk: credit ratings remain a regulated activity; adverse regulatory changes in the U.S. or EU could constrain pricing or liability.
- Market Intelligence execution: the division has a history of mid-single-digit growth that disappoints; the AI product push must convert pilots into revenue.
- Capital allocation at the top: the \$7 billion-plus buyback retires fewer shares at \$386 than it would in a downturn; aggressive repurchases at peak multiples destroy the per-share compounding the program is meant to create.
- Passive-concentration: the Indices moat depends on continued passive share gains; any structural shift in how investors allocate could slow the royalty.

What Would Change Our Mind

- A genuine issuance downturn that takes the stock 20-30% lower on depressed earnings - without impairing the duopoly - would make the moat buyable at a cyclical multiple and move us to BUY.
- Evidence that Market Intelligence AI offerings are a real growth engine - sustained double-digit organic growth in the division - would raise our through-cycle growth assumption.

- A structural, defensible acceleration in Ratings non-transaction revenue (surveillance, data, analytics) that de-cyclicalizes the division would justify a higher multiple.
- Conversely, confirmation that issuance has peaked while the multiple stays elevated would strengthen the REDUCE thesis.
- Any regulatory action that impairs the ratings oligopoly economics would force a fundamental reassessment of the moat.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins - never peak margins - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

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